



# Project Lingonberry

Red Flags – Financial Due Diligence

—

March 16, 2023

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### Private and confidential

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March 16, 2023

### Project Lingonberry — Financial due diligence

We have completed certain procedures to assist **Investment Management Corporation of Ontario** (“IMCO” or “Client” or “you”) in performing limited and red flags financial due diligence in connection with your prospective investment (the “Transaction”) in **Northvolt AB** (collectively the “Company” or “Target”), in accordance with the terms of our engagement letter dated March 9, 2023, including its Terms and Conditions for Advisory and Tax Services.

### Objective

The objective of our engagement was to assist you with your assessment of the risks and opportunities of your prospective acquisition of Target. Our work in this report was based on information provided by you. The primary scope of our engagement was to make inquiries and perform analyses based on information made available to us, directed toward those business activities and related financial data of interest to you.

Please review the following documents in the appendices, which set out the basis and limitations of our work performed.

### Important notice



### Basis of Information

The engagement letter describes the procedures we were to perform. Those procedures were selected by you and were limited in nature and extent to those that you determined best fit your needs. We make no representation regarding the sufficiency for your purposes of the procedures selected, and those procedures will not necessarily disclose all significant matters about Target or reveal errors in the underlying information, instances of fraud, or illegal acts, if any. This report was prepared by us on the basis that you provided us with all relevant information you received concerning Target.

The procedures we performed do not constitute an audit, examination or review in accordance with standards established by the Auditing and Assurance Standards Board (“AASB”) in Canada, and we have not otherwise verified the information we obtained or presented in this report. We express no opinion or any other form of assurance on Target’s internal control over financial reporting or on the information presented in our report, and make no representations concerning its accuracy or completeness.

We have not compiled, examined, or applied other procedures in accordance with the Assurance and Related Services Guidelines issued by the AASB to prospective information contained in this document and, accordingly, express no opinion or any other form of assurance or representations concerning the accuracy, completeness or presentation format of such prospective information. There will usually be differences between projected and actual results, because events and circumstances frequently do not occur as expected, and those differences may be material.

The data included in this report was obtained from you from March 9, 2023 to March 10, 2023, inclusive. Since many aspects of the transaction with Target have either not been finalized or are not yet documented, changes may occur that materially affect the financial and other information we received and reported to you. We have no obligation to update our report or to revise the information contained herein to reflect events and transactions occurring subsequent to March 16, 2023. We have not reviewed this report with Target Management for the purpose of confirming the factual accuracy of the information we presented.

Because of its special nature, this report is not suited for any purpose other than to assist Client in its evaluation of Target and, as such and as agreed in the engagement letter, is restricted for your internal use only. Accordingly, KPMG does not authorize any recipient or any other third party to rely on this report and any such reliance shall be at recipient’s sole risk. Therefore, KPMG shall have no liability or responsibility in respect of the advice, recommendations, or other information in this report to the recipient or any party other than Client. Further, this report and its contents may not be shared with or disclosed by the recipient to any party without the express written consent of Client and KPMG.

Yours Sincerely,

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# 01

## Executive summary

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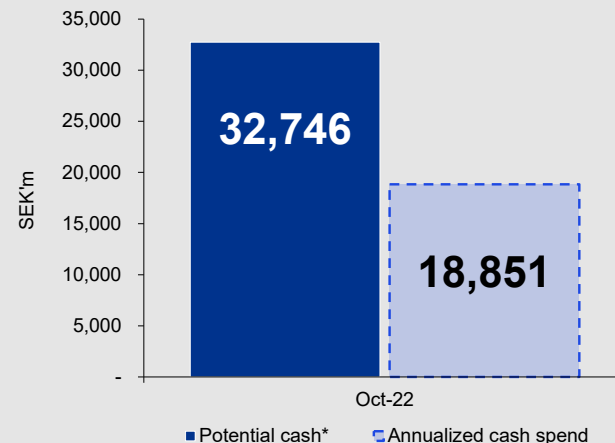
# Headlines (1/2)

The primary items raised for your consideration are the Company's current cash position, cash runway (currently with negative operating cash generation), and future cash needs (capital expenditures). However, these considerations are consistent with businesses in the start-up stage of their life cycle.

## Cash Spend

**Annualized cash spend is SEK (18.9) billion for the ten months ended October 2022.**

*Based on current spend, the Company has sufficient cash (including remaining room in its undrawn senior debt facility) for the next 1.7 years.*



*\*Assumes only undrawn debt facility is available; excludes potential incremental grants.*

## Quality of Earnings

**Sell-side adjustments to EBITDA are generally accepted, with some true-ups.**

| SEK'm                                | FY21    | YTD Oct-22 |
|--------------------------------------|---------|------------|
| Net sales, reported                  | 678     | 777        |
| EBITDA, Sell-side pro forma adjusted | (1,869) | (3,530)    |
| EBITDA, Buy-side pro forma adjusted  | (1,989) | (3,743)    |
| Buy-side EBITDA in USD <sup>1</sup>  | (188)   | (355)      |

*Note 1: Based on the USD-SEK exchange rate of 10.55 as of March 15, 2023.*

## Indicative working capital

**Working capital increase is driven by inventory build-up.**

*The Company appears to have purchased a substantial quantity of raw materials close to October 2022. Due to production delays, it also sold inventory in December 2022 that were at risk of over-aging. Continued delays may require further sales of inventory intended for use in production.*

| SEK'm                                  | As at   |         |         |
|----------------------------------------|---------|---------|---------|
|                                        | Dec20   | Dec21   | Oct22   |
| Inventory                              | 180     | 542     | 3,004   |
| Other current assets                   | 355     | 718     | 972     |
| Current assets                         | 535     | 1,260   | 3,976   |
| Current liabilities                    | (1,890) | (2,123) | (3,598) |
| Net working capital, reported          | (1,355) | (863)   | 378     |
| Net working capital, Buy-side adjusted | (1,355) | (863)   | 643     |

# Headlines (2/2)

## Equity Dilution

- Based on the Company's funding over the historical period, 80.6% or SEK 59.4 billion of SEK 73.6 billion in total funding as at October 2022 was dilutive.
- In addition to multiple equity funding rounds, the Company employs the following forms of employee compensation which are dilutive in nature:
  - Warrant programs (available for all employees) which are allotted in rounds with up to 200 new participants per program. The warrants have a four year vesting period and strike prices are determined based on third party valuation;
  - Share-based deferred consideration for Cuberg's founders;
  - Management incentive programs that grant larger warrant investments which can be financed by a bank loan; and
  - Opportunities for Management and employees to participate in external equity funding rounds.
- In addition, as of October 2022, the Company has issued approximately 25 billion of preferred shares which have a dividend rate of 6-8%. Dividends and interest related to preferred shares are not accrued on the balance sheet but may be converted to additional shares upon a public offering or M&A exit.

## Accounting and Finance

- The Company's finance function was brought in house in June 2019, however accounting for certain foreign subsidiaries continues to be outsourced to Grant Thornton.
- The Company still has a significant number of manual processes including: consolidation of financial results, depreciation of capitalized assets, and depreciation of right-of-use assets.
- At present, Management's focus lies on monitoring inflows, outflows, and trapped cash, as opposed to maintaining a comprehensive track record of the Company's net cash positions (also flagged by the sell-side due diligence advisor in their report). In addition, we encountered a challenge in generating a cash flow statement using the income statement and balance sheet due to varying FX rates applied over the historical period and across different schedules.
- Additionally, the FY21 audit found that standard costs may not be automatically updated in the ERP, resulting in required correction entries in NV Labs.
- As the Company continues to grow in complexity and volume, additional accounting team bench strength may be required. Investments in the finance function (both people and systems) will further increase the Company's cash outflows.

## Sources of Information

- The analysis in this red flags update is based solely on the financial vendor due diligence report ("VDD report") prepared by Ernst & Young dated February 14, 2023, and should be read in conjunction with the VDD report.
- We have not had access to Management, their advisors, or supporting schedules to the VDD report.
- The provision of further information may change the analysis and conclusions presented herein.
- Due to rounding, certain minor differences between the figures presented herein and the VDD report exist.

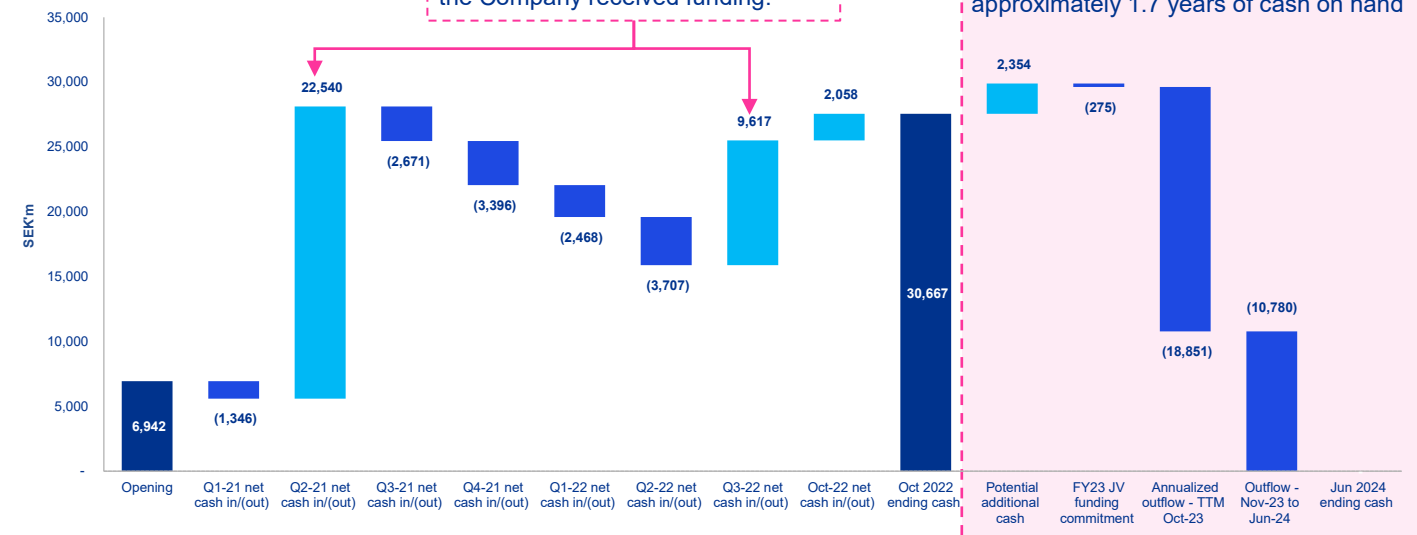
# Cash spend (1/3)

With recurring net cash outflows, indicatively, based on its October 2022 cash position and annualized YTD Oct-22 spend, the Company's cash position could last until May 2024 (approximately 1.7 years from October 2022).

| Summary Cash Flow           |      |               |               |              |               |               |               |               |               |               |               |
|-----------------------------|------|---------------|---------------|--------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|
| SEK'm                       | Ref. | FY21          | YTD Oct-22    | Q1-21        | Q2-21         | Q3-21         | Q4-21         | Q1-22         | Q2-22         | Q3-22         | Oct-22        |
| Opening                     |      | 6,942         | 23,880        | 6,942        | 6,049         | 29,042        | 26,823        | 23,880        | 21,798        | 18,477        | 28,480        |
| Inflows                     | 1    | 33,063        | 27,673        | 2,272        | 26,399        | 1,682         | 2,710         | 2,798         | 2,778         | 16,988        | 5,109         |
| Outflows                    |      | (13,564)      | (16,309)      | (2,525)      | (2,766)       | (3,260)       | (5,013)       | (3,507)       | (4,726)       | (5,612)       | (2,464)       |
| Outflows - Injections Ett   |      | (4,372)       | (5,863)       | (1,093)      | (1,093)       | (1,093)       | (1,093)       | (1,759)       | (1,759)       | (1,759)       | (586)         |
| Outflows                    | 2    | (17,936)      | (22,172)      | (3,618)      | (3,859)       | (4,353)       | (6,106)       | (5,266)       | (6,485)       | (7,371)       | (3,050)       |
| VAT <sup>1</sup>            |      | (103)         | 98            | (26)         | (26)          | (26)          | (26)          | 29            | 29            | 29            | 10            |
| FX gain/(loss) <sup>1</sup> |      | 1,914         | 1,188         | 479          | 479           | 479           | 479           | 356           | 356           | 356           | 119           |
| <b>Ending</b>               |      | <b>23,880</b> | <b>30,667</b> | <b>6,049</b> | <b>29,042</b> | <b>26,823</b> | <b>23,880</b> | <b>21,798</b> | <b>18,477</b> | <b>28,480</b> | <b>30,667</b> |

Note 1: VAT and FX gain/(loss) provided on an annual basis only. These amounts have been allocated evenly to quarterly cash flows.

Quarterly cash flow and anticipated runway



Source: EY Financial DD – February 2023



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## Cash spend overview

The adjacent schedules set out the Company's quarterly cash inflows and outflows, along with an estimate of the potential runway the Company may have based on its current net spend and cash on hand. The estimated runway assumes the Company does not receive funding from new sources, but undistributed cash from existing lenders and grants will be accessible, and that current financial debt will not be repaid.

### Summary cash flow

- Inflows:** Comprised of (i) equity investment and debt, (ii) proceeds from sale of battery systems, sample cells, and development and grant funding, (iii) interest income on deposits, and (iv) other sources such as cash received from divestitures and equity injections from NV AB to NV Ett via a blocked collateral account.
- Outflows:** Primarily related to (i) capex, (ii) R&D spend, (iii) operating costs relating to commissioning activity, and (iv) central function costs (finance, legal, IT, HR, supply chain, quality, etc.).

A detailed breakdown of cash inflows and outflows by sources and uses is presented on the following page.

# Cash spend (2/3)

Capital expenditures relating to the construction of new facilities remains the Company's largest use of cash. However, operating cash consumption is increasing due to commissioning costs and increases in central function (global, scaling, and other) expenses.

| Cash flow                 |               |               | Capital expenditures |                 | Implied operating CF |                | Financing and other |               |
|---------------------------|---------------|---------------|----------------------|-----------------|----------------------|----------------|---------------------|---------------|
| SEK'm                     | FY21          | YTD Oct-22    | FY21                 | YTD Oct-22      | FY21                 | YTD Oct-22     | FY21                | YTD Oct-22    |
| Opening Balance           | 6,942         | 23,880        | -                    | -               | -                    | -              | 6,942               | 23,880        |
| Equity                    | 25,221        | 16,645        | -                    | -               | -                    | -              | 25,221              | 16,645        |
| Debt                      | 5,592         | 2,947         | -                    | -               | -                    | -              | 5,592               | 2,947         |
| Income                    | 754           | 1,102         | -                    | -               | 469                  | 1,047          | 285                 | 55            |
| Other                     | 1,495         | 6,979         | -                    | -               | -                    | -              | 1,495               | 6,979         |
| Cash-In                   | 33,062        | 27,673        | -                    | -               | 469                  | 1,047          | 32,593              | 26,626        |
| NV Ett                    | (8,566)       | (8,270)       | (7,837)              | (5,726)         | (729)                | (2,544)        | -                   | -             |
| Injections Ett            | (4,372)       | (5,863)       | -                    | -               | -                    | -              | (4,372)             | (5,863)       |
| Labs                      | (1,793)       | (2,671)       | (806)                | (920)           | (987)                | (1,751)        | -                   | -             |
| Expansions                | (285)         | (1,932)       | -                    | (1,923)         | (285)                | (9)            | -                   | -             |
| Systems                   | (815)         | (1,311)       | (270)                | (603)           | (545)                | (708)          | -                   | -             |
| Active material           | -             | (248)         | -                    | (81)            | -                    | (167)          | -                   | -             |
| Revolt                    | (122)         | (836)         | (94)                 | (986)           | (28)                 | 150            | -                   | -             |
| Global, scaling and other | (1,982)       | (1,041)       | (280)                | (52)            | (932)                | (989)          | (770)               | -             |
| Cash-Out                  | (17,935)      | (22,172)      | (9,287)              | (10,291)        | (3,506)              | (6,018)        | (5,142)             | (5,863)       |
| VAT                       | (103)         | 98            | -                    | -               | -                    | -              | (103)               | 98            |
| FX Gain/(Loss)            | 1,914         | 1,188         | -                    | -               | -                    | -              | 1,914               | 1,188         |
| VAT & FX                  | 1,811         | 1,286         | -                    | -               | -                    | -              | 1,811               | 1,286         |
| <b>Closing Balance</b>    | <b>23,880</b> | <b>30,667</b> | <b>(9,287)</b>       | <b>(10,291)</b> | <b>(3,037)</b>       | <b>(4,971)</b> | <b>36,204</b>       | <b>45,929</b> |
| Trapped Equity            | 4,418         | 4,935         | -                    | -               | -                    | -              | 4,418               | 4,935         |
| Trapped Cash              | 67            | 78            | -                    | -               | -                    | -              | 67                  | 78            |

## Overview – stratified cash flow

As described on page 6, the Company only monitors cash flows based on inflows and outflows. The adjacent table aims to further split the Company's cash flows into its capital, operating, and financing components.

- **Capital expenditures:** Relates to cash outflows in connection with construction of the Company's various facilities, primarily in NV Ett and NV Ett Expansion. These amounts were quantified based on the budget-to-actual capex analysis in the VDD.
- **Implied operating cash flow:** Consists of:
  - *Income* encompassing proceeds from sale of battery systems, sample cells, and development work. While the Company also includes grant income as part of Income, we have reclassified these amounts as financing.
  - *Operating cash outflows*, which primarily relate to commissioning activities at NV Ett for Phase 1 facilities increased operations relating to the Company's R&D functions (Labs), and on-going central function costs for finance, legal, HR, supply chain, and quality.
- **Financing and other:** Reflects the Company's debt and equity financing, as well as funding from NV AB to NV Ett. We understand NV AB is contractually obligated to contribute funds to a blocked collateral account for NV Ett (i.e. Injections Ett), which NV Ett draws on as required (part of Other Cash-In).

Source: EY Financial DD – February 2023



# Cash spend (3/3)

The Company has several grants and an undrawn debt facility that are expected to generate cash and contribute to the approximately 1.7 year cash runway window.

See page 7.

| Potential cash runway based on annualized YTD Oct-22           |      |      |                 |                               |
|----------------------------------------------------------------|------|------|-----------------|-------------------------------|
| SEK'm                                                          | Ref. | FY21 | YTD Oct-22      | Annualized YTD Oct-22         |
| <b>Cash inflow / (outflow)</b>                                 |      |      |                 |                               |
| Cash outflow, excl. Injections Ett                             | 1    |      | (16,309)        | (19,571)                      |
| Incremental run-rate personnel cost                            | 2    |      | n.a.            | (536)                         |
| Cash inflow from income                                        | 3    |      | 1,047           | 1,256                         |
| <b>Net cash inflow / (outflow)</b>                             |      |      | <b>(15,262)</b> | <b>(18,851)</b>               |
| <b>Potential additional cash from existing funding sources</b> |      |      |                 |                               |
| Undrawn senior debt facility                                   | 4    |      |                 | 2,354 <sup>a</sup>            |
| Klimatklivet/Revolt                                            |      |      |                 | 117                           |
| Swedish Energy Agency (Pilot line)                             |      |      |                 | 10                            |
| Other                                                          |      |      |                 | 4                             |
| Swedish grants                                                 | 5    |      |                 | 131 <sup>b</sup>              |
| CIT exemption                                                  |      |      |                 | 201                           |
| New factory grant                                              |      |      |                 | 57                            |
| ESS expansion                                                  |      |      |                 | 29                            |
| RET exemption                                                  |      |      |                 | 10                            |
| Polish grants                                                  | 6    |      |                 | 296 <sup>c</sup>              |
| SEA (IPCEI)                                                    | 7    |      |                 | 200 <sup>d</sup>              |
| Grants                                                         |      |      |                 | 627                           |
| <b>Total potential additional cash</b>                         |      |      |                 | <b>2,981</b>                  |
| <b>Potential repayments / funding commitments</b>              |      |      |                 |                               |
| JV funding commitments                                         | 8    |      |                 | (275)                         |
| Debt repayment                                                 |      |      |                 | n.q.                          |
| <b>Total potential repayments</b>                              |      |      |                 | <b>(275) <sup>e</sup></b>     |
| Ending cash, Oct-22                                            |      |      |                 | 30,667 <sup>f</sup>           |
| Ending cash, Oct-22, incl. potential additional cash - Low     |      |      |                 | 32,746 <sup>a+e+f</sup>       |
| Ending cash, Oct-22, incl. potential additional cash - High    |      |      |                 | 33,373 <sup>a+b+c+d+e+f</sup> |
| <b>Potential cash runway (years) - Low</b>                     |      |      |                 | <b>1.7</b>                    |
| <b>Potential cash runway (years) - High</b>                    |      |      |                 | <b>1.8</b>                    |

## Potential cash runway

- Cash outflow:** For purposes of estimating the potential cash runway, cash outflows relating to equity injections from NV AB to NV Ett are excluded. We understand contributions are made to a blocked collateral account by NV AB (representing an outflow), and when NV Ett draws on the account, the withdrawal is treated as an inflow. As these transactions represent intercompany funds transfer with timing differences, they have been excluded from the indicative analysis.
- Incremental run-rate personnel costs:** Average headcount for the YTD Oct-22 period was 3,319, however the Company had 4,000 employees at the end of October 2022. The table below presents the incremental personnel expenses if Lingonberry had 4,000 employees on an annualized basis. This impact is also included as top-up to annualized cash outflows excluding NV Ett Injections for purposes of estimating potential cash runway.

| Incremental annualized headcount  |      |      |            |                       |
|-----------------------------------|------|------|------------|-----------------------|
| SEK'm                             | Ref. | FY21 | YTD Oct-22 | Annualized YTD Oct-22 |
| <b>Run-rate personnel cost</b>    |      |      |            |                       |
| Monthly cost / employee (SEK 000) |      |      | (71)       | (71)                  |
| Headcount as at Oct-22            |      |      | 4,000      | 4,000                 |
| Implied run-rate                  |      |      | (3,408)    | (3,408)               |
| <b>Reported personnel cost</b>    |      |      |            |                       |
| Reported personnel cost, IFRS     |      |      | (2,393)    | (2,872)               |
| <b>Incremental personnel cost</b> |      |      |            | <b>(536)</b>          |

- Cash inflow from income:** Reflects the annualized income received from sale of battery systems, sample cells, development and grant funding, and interest earned on deposits.
- Undrawn senior debt facility:** The Company has a USD 1.345 billion senior debt facility, of which USD 223 million remains undrawn as of October 2022. This has been converted to SEK at a 10.55 exchange rate as of March 15, 2023.
- Swedish grants:** Primarily relates to a grant for the construction of Revolt Ett recycling facilities.
- Polish grants:** Relates to Polish government funding provided to NV PL.
- Swedish Energy Association IPCEI:** Grant to support the development of next generation battery cells and expansion of R&D labs in Vasteras. The Company has received SEK 238 million in June 2021 with potential to receive an additional SEK 200 million.
- JV funding commitments:** As at October 2022, the Company has committed to make cash contributions totaling USD 25 million (SEK 275 million) in FY23. It should be noted the JVs are also not profitable and may require additional funding.

Source: EY Financial DD – February 2023

# Quality of earnings (1/2)

Sell-side adjustments to EBITDA are generally accepted, with certain refinements

| Quality of earnings                    |      |         |            | Accept |
|----------------------------------------|------|---------|------------|--------|
| SEK'm                                  | Ref. | FY21    | YTD Oct-22 |        |
| Net sales, reported                    |      | 678     | 777        |        |
| EBITDA, reported                       |      | (1,642) | (4,134)    |        |
| <b>Sell-side diligence adjustments</b> |      |         |            |        |
| Results from participations in JVs     | 1    | 21      | 45         | ✓      |
| FX (gains)/losses                      | 2    | (581)   | 37         | ✓      |
| Realized hedge results                 | 3    | -       | 384        | ✓      |
| Unrealized hedge results               | 4    | 245     | 87         | ✓      |
| Cuberg, deferred consideration         | 5    | 87      | 51         | ✓      |
| VE12, capital gain                     | 6    | (3)     | -          | ✓      |
| Severance costs                        | 7    | 2       | -          | ✓      |
| Transaction costs                      | 8    | 2       | -          | ✓      |
| Hourly wage accrual                    | 9    | n.q.    | n.q.       | x      |
| Sell-side diligence adjustments        |      | (227)   | 604        |        |
| EBITDA, Sell-side diligence adjusted   |      | (1,869) | (3,530)    |        |
| <b>Sell-side pro forma adjustments</b> |      |         |            |        |
| NV Poland                              | 10   | (1)     | -          | ✓      |
| Cuberg                                 | 11   | (6)     | -          | ✓      |
| Hydrovolt JV                           | 12   | (5)     | (24)       | ✓      |
| Novo Energy JV                         | 13   | -       | (16)       | ✓      |
| Aurora Lithium JV                      | 14   | -       | (3)        | ✓      |
| Sell-side pro forma adjustments        |      | (12)    | (43)       |        |
| EBITDA, Sell-side pro forma adjusted   |      | (1,881) | (3,573)    |        |
| Buy-side adjustments                   |      | (108)   | (170)      |        |
| EBITDA, buy-side pro forma adjusted    |      | (1,989) | (3,743)    |        |
| Other considerations                   |      | 581     | (415)      |        |
| EBITDA, with other considerations      |      | (1,408) | (4,158)    |        |

The above quality of earnings schedule illustrates potential adjustments and other factors to be considered for the fiscal year ended December 31, 2021, and the year-to-date period ended October 31, 2022.

Such proposed adjustments are not deemed to be all inclusive. The validity of these potential adjustments and other factors for your consideration may require further investigation to understand the potential impact on your valuation model.

Source: EY Financial DD – February 2023



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## Sell-side adjustments

The following are potential diligence adjustments identified by the Company's sell-side advisors.

- **2 – 4 FX (gains)/losses:** Sell-side removes FX gains and losses on hedging instruments and spending from EBITDA. They considered hedging to be financing activity and other realized gains and losses to be distorted by the Company's significant capital expenditures. While we accept this treatment, we have also included the impact of realized FX gains and losses as an *other consideration* given the Company's near-term operations involve fundraising and managing cash (typically denominated in USD or EUR), as well as the construction and commissioning of its various facilities.
- **5, 8 Acquisition-related:** Adjustment #5 adds back deferred share-based compensation for Cuberg's founders since its acquisition in March 2021, and adjustment #8 adds back transaction costs pertaining to the Cuberg, Novo Energy, and Aurora Lithium acquisitions in FY21. We accept these adjustments to quality of earnings as they are non-operating costs.
- **9 Hourly wage accrual:** The blue-collar employees in the Swedish entities are entitled to save hours to a "time bank", related to compensation for shift work and overtime. Management has estimated that this accrual was SEK 11m in November 2022. As sell-side did not adjust for this, we have included this cost in diligence adjustment #17.
- **Other:** We accept the remainder of sell-side diligence adjustments relating to (i) one-time capital gain on sale of land in FY21, (ii) one-time severance costs in FY21, and (iii) removing the reported JV participation that include capital gains and losses from acquiring/divesting JV shares (replaced with the Company's share of JV EBITDA in pro forma adjustments).

## Sell-side pro forma adjustments

The following are potential pro forma adjustments identified by the Company's sell-side advisors.

- **10 – 11 Pre-acquisition results to reflect 100% ownership:** The Company acquired Cuberg and the remaining shares in NV Poland (formerly a 50% JV) in March 2021. Sell-side proposed an adjustment, which we accept, to true up FY21 EBITDA as if both entities were wholly owned for all of FY21.
- **12 – 14 Company's share of JV EBITDA:** Reflects the Company's 50% share of EBITDA losses in the Hydrovolt, Novo Energy, and Aurora Lithium. We accept these adjustments to reflect the underlying EBITDA of the group.

# Quality of earnings (2/2)

| Quality of earnings                         |      |                |                |
|---------------------------------------------|------|----------------|----------------|
| SEK'm                                       | Ref. | FY21           | YTD Oct-22     |
| <b>Net sales, reported</b>                  |      | <b>678</b>     | <b>777</b>     |
| <b>EBITDA, reported</b>                     |      | <b>(1,642)</b> | <b>(4,134)</b> |
| Sell-side diligence adjustments             |      | (227)          | 604            |
| <b>EBITDA, Sell-side diligence adjusted</b> |      | <b>(1,869)</b> | <b>(3,530)</b> |
| Sell-side pro forma adjustments             |      | (12)           | (43)           |
| <b>EBITDA, Sell-side pro forma adjusted</b> |      | <b>(1,881)</b> | <b>(3,573)</b> |
| <b>Buy-side adjustments</b>                 |      |                |                |
| IFRS16                                      | 15   | (108)          | (116)          |
| Electricity costs                           | 16   | n.q.           | (43)           |
| Hourly wage accrual                         | 17   | n.q.           | (11)           |
| Buy-side adjustments                        |      | (108)          | (170)          |
| <b>EBITDA, buy-side pro forma adjusted</b>  |      | <b>(1,989)</b> | <b>(3,743)</b> |
| <b>Other considerations</b>                 |      |                |                |
| Realized FX gains/(losses)                  | A    | 581            | (421)          |
| Commissioning materials                     | B    | n.q.           | n.q.           |
| Sales of scrap material                     | C    | n.q.           | 6              |
| Other considerations                        |      | 581            | (415)          |
| <b>EBITDA, with other considerations</b>    |      | <b>(1,408)</b> | <b>(4,158)</b> |

Source: EY Financial DD – February 2023

## Buy side pro forma adjustments

The following are incremental adjustments identified by KPMG.

- 15. IFRS16:** The Company adopted IFRS16 in FY21 and records the majority of its lease costs as depreciation and interest expense relating to right-of-use assets. This adjustment reverses the IFRS16 adjustments, which are accounting entries for presentation of the financial statements, to present rent expense on a cash basis.
- 16. Electricity costs:** The Company experienced steeply rising electricity prices over the historical period and received discounts entailing EUR 4.1m in the YTD Oct-22 period. This adjustment reflects these costs in EBITDA as these discounts appear to be non-recurring (translated to SEK at 10.57 based on the YTD Oct-22 average FX rate).
- 17. Hourly wage accrual:** In accordance with adjustment #9, this adjustment records the Management estimated cost of SEK 11m (as of November 2022) associated with the hourly wage accrual for overtime banked hours.

## Other considerations

The following are additional considerations which may impact historical and future EBITDA.

- A. Realized FX gains / (losses):** Given the Company's fundraising and managing of cash (typically denominated in USD or EUR), as well as its construction and commissioning of various facilities, realized gains and losses will form a part of the Company's near-term operations and may be considered in EBITDA.
- B. Capitalized expenses:** During the YTD Oct-22 period, Management has capitalized SEK 100 million in material costs for commission facilities in NV Ett. They are also considering an additional SEK 220 million of costs for FY22. The table shows the Company's own work capitalized in the YTD Oct-22 period and historical capitalizable commissioning materials. The impact of these capitalized expenses on EBITDA is considered as part of capital expenditures in the cash flow statement.

| B   Capitalized expenses            |              |
|-------------------------------------|--------------|
| SEK'm                               | YTD Oct-22   |
| Capitalized work                    | (464)        |
| Commissioning materials capitalized | (100)        |
| <b>Capitalized expenses</b>         | <b>(564)</b> |

- C. Sales of scrap metal:** The Company generated SEK 6 million in sales of scrap metal in YTD Oct-22. These were not included in EBITDA as they were not directly linked to the Company's commercial activity. Given the Company's recycling operations in NV Revolt, sale of scrap metal may be considered a potential normal course operating activity going forward.

# Funding summary

The Company has had several dilutive funding events and significant outstanding debt balances (and some grants) that would need to be repaid.

| Funding overview                   |               |               |               |               |               | Total financing |                 | Financial debt      |                 | Grant     |   |
|------------------------------------|---------------|---------------|---------------|---------------|---------------|-----------------|-----------------|---------------------|-----------------|-----------|---|
| SEK'm                              | Total Dec-20  | FY21          | YTD Oct-22    | Total Oct-22  | Dilutive      | Non-dilutive    | Total at Oct-22 | Outstanding balance | Total at Oct-22 | Repayment |   |
| Founder financing                  | 2             | -             | -             | 2             | 2             | -               | -               | -                   | -               | -         | - |
| Initial seed financing             | 100           | -             | -             | 100           | 100           | -               | -               | -                   | -               | -         | - |
| Partner financing prior to Dec-18  | 799           | -             | -             | 799           | 799           | -               | -               | -                   | -               | -         | - |
| Equity funding round FY19          | 6,813         | -             | -             | 6,813         | 6,813         | -               | -               | -                   | -               | -         | - |
| Convertible loan volkswagen        | 2,587         | -             | -             | 2,587         | 2,587         | -               | 2,587           | 3,016               | -               | -         | - |
| SAERG (Investment grant)           | 30            | -             | -             | 30            | -             | 30              | -               | -                   | 30              | -         | - |
| 16 GWh financing                   | 9,430         | -             | -             | 9,430         | 9,400         | 30              | 2,587           | 3,016               | 30              | -         | - |
| Equity funding 2020                | 5,320         | 58            | -             | 5,378         | 5,378         | -               | -               | -                   | -               | -         | - |
| Senior debt & second lien loan     | 3,993         | 5,941         | 3,188         | 13,122        | -             | 13,122          | 13,122          | 15,241              | -               | -         | - |
| Equity funding 2021                | -             | 23,276        | -             | 23,276        | 23,276        | -               | -               | -                   | -               | -         | - |
| Volta convertible loans 2022       | -             | -             | 17,881        | 17,881        | 17,881        | -               | 17,881          | 17,244              | -               | -         | - |
| Term loan European investment bank | 544           | -             | -             | 544           | -             | 544             | 544             | -                   | -               | -         | - |
| Convertible loans                  | 259           | -             | -             | 259           | 259           | -               | 259             | -                   | -               | -         | - |
| Swedish Energy Agency              |               |               |               | 376           | -             | 376             | -               | -                   | 376             | ✓         | - |
| SEPA                               |               |               |               | 42            | -             | 42              | -               | -                   | 42              | -         | - |
| SAERG                              |               |               |               | 33            | -             | 33              | -               | -                   | 33              | -         | - |
| Swedish grants                     |               |               |               | 451           | -             | 451             | -               | -                   | 451             | -         | - |
| EU Commission                      |               |               |               | 11            | -             | 11              | -               | -                   | 11              | -         | - |
| EIT Raw Materials                  |               |               |               | 11            | -             | 11              | -               | -                   | 11              | -         | - |
| EIT KIC Innoenergy                 |               |               |               | 67            | -             | 67              | -               | -                   | 67              | ✓         | - |
| European grants                    |               |               |               | 90            | -             | 90              | -               | -                   | 90              | -         | - |
| National Centre for R&D            |               |               |               | 19            | -             | 19              | -               | -                   | 19              | -         | - |
| Ministry of Economic D&T           |               |               |               | 10            | -             | 10              | -               | -                   | 10              | -         | - |
| Polish grants                      |               |               |               | 29            | -             | 29              | -               | -                   | 29              | -         | - |
| California Energy Commission       |               |               |               | 31            | -             | 31              | -               | -                   | 31              | -         | - |
| FX reconciling difference          |               |               |               | (21)          | -             | (21)            | -               | -                   | (21)            | -         | - |
| Grants                             | 254           | 285           | 41            | 580           | -             | 580             | -               | -                   | 580             | -         | - |
| Facility convertibles (D-shares)   | -             | 30            | -             | 30            | 30            | -               | 30              | 88                  | -               | -         | - |
| Convertible loan VW (D-shares)     | -             | 1,930         | -             | 1,930         | 1,930         | -               | 1,930           | 96                  | -               | -         | - |
| Other financing after Dec-18       | 1,057         | 2,245         | 41            | 3,343         | 2,219         | 1,124           | 2,763           | 184                 | 580             | -         | - |
| LTI Warrants exercised             | -             | 13            | 109           | 122           | 122           | -               | -               | -                   | -               | -         | - |
| LTI Warrants purchased             | 40            | 41            | 100           | 181           | 181           | -               | -               | -                   | -               | -         | - |
| Warrants                           | 40            | 54            | 209           | 303           | 303           | -               | -               | -                   | -               | -         | - |
| <b>External funding</b>            | <b>20,741</b> | <b>31,574</b> | <b>21,319</b> | <b>73,634</b> | <b>59,358</b> | <b>14,276</b>   | <b>36,353</b>   | <b>35,685</b>       | <b>610</b>      | -         | - |

Source: EY Financial DD – February 2023

| Bridge to Sell-side adjusted Net Debt |                |
|---------------------------------------|----------------|
| SEK'm                                 | 31-Oct-22      |
| Outstanding financial debt            | (35,685)       |
| Cash and cash equivalents             | 21,047         |
| Short-term bank deposits              | 14,756         |
| Long-term lease liabilities           | (346)          |
| Short-term lease liabilities          | (149)          |
| Other long-term liabilities           | (3)            |
| Short-term FX hedge                   | (145)          |
| Interest rate swap                    | 1,219          |
| Tax receivables/(payables) (net)      | 222            |
| Warranty Provision                    | (32)           |
| Other Provisions                      | (16)           |
| <b>Net debt, reported</b>             | <b>868</b>     |
| Sell-side adjustments                 | (6,465)        |
| Sell-side other considerations        | n.q.           |
| <b>Net debt, Sell-side adjusted</b>   | <b>(5,597)</b> |

## Repayable grants

- **EIT KIC Innoenergy (Revolt):** This grant is repayable by future royalty payments up to an agreed amount, but may exceed the initial grant.
- **SEA (IPCEI):** Northvolt has the potential to receive an additional SEK 200 million under this grant. There is a claw-back provision which triggers repayment based on surplus cash flows, assessed on a rolling 5-year period starting in 2027.

## Joint venture grants

- Hydrovolt has been awarded a grant of NOK 44 million from Enova, of which NOK 16 million has yet to be received.

# Indicative working capital

Working capital has increased in the YTD Oct-22 period, driven by inventory build-up as a result of production delays.

| Indicative working capital                  |                |                |                |
|---------------------------------------------|----------------|----------------|----------------|
| SEK'm                                       | As at          |                |                |
|                                             | Dec20          | Dec21          | Oct22          |
| <b>Current assets</b>                       |                |                |                |
| Inventory                                   | 180            | 542            | 3,004          |
| Accounts receivable                         | 43             | 188            | 264            |
| Other current receivables <sup>1</sup>      | 297            | 448            | 577            |
| Prepaid expenses & accrued liabilities      | 15             | 82             | 131            |
| <b>Current assets</b>                       | <b>535</b>     | <b>1,260</b>   | <b>3,976</b>   |
| <b>Current liabilities</b>                  |                |                |                |
| Accounts payable                            | (845)          | (1,279)        | (2,303)        |
| Other current liabilities                   | (30)           | (68)           | (109)          |
| Accrued expenses                            | (1,015)        | (776)          | (1,186)        |
| <b>Current liabilities</b>                  | <b>(1,890)</b> | <b>(2,123)</b> | <b>(3,598)</b> |
| <b>Indicative working capital</b>           | <b>(1,355)</b> | <b>(863)</b>   | <b>378</b>     |
| <b>Potential adjustments</b>                |                |                |                |
| Accrued loan and financing fees             | n.q.           | n.q.           | 276            |
| Hourly wage accrual                         | n.q.           | n.q.           | (11)           |
| <b>Potential adjustments</b>                | <b>-</b>       | <b>-</b>       | <b>265</b>     |
| <b>Indicative working capital, adjusted</b> | <b>(1,355)</b> | <b>(863)</b>   | <b>643</b>     |
| <b>Key performance indicators</b>           |                |                |                |
| DSO                                         | n.q.           | 62             | 106            |
| DIO                                         | n.q.           | 175            | 662            |
| DPO                                         | n.q.           | 154            | 138            |

The Company appears to have purchased a significant amount of raw material close to October 2022 (based on inventory aging). At historical activity levels, it would take approximately two years to consume. However, we note that the Company sells over aged inventory (i.e. >120 days) to avoid obsolescence. Hence, there is a risk that the recent purchases may also need to be sold. From a cash management perspective, the Company may be over-investing in raw materials prior to being able to use them in production.

Source: EY Financial DD – February 2023

## Net working capital

- As the Company is currently ramping up production, it continues to experience production delays, resulting in a build-up of inventory.
  - The Company's inventory provision has increased from SEK 12 million in Dec-21 to SEK 342 million in October 2022, partially driven by the write down of WIP and semi finished goods on low yields in production. The inventory provision in NV labs relates to produced but defective cells. Reviews of defective cells are now being conducted monthly and there are ongoing projects to recover materials from defective cells to decrease this provision.
  - Aged inventory greater than 120 days rose was SEK 603 million as at October 2022. The aged inventory is comprised of metals which accumulated from production delays. Over-aged materials will be sold, such as the sale of 250 tons of LiOH in December 2022.
  - The production stop to support NV Ett commissioning resulted in an increase in aged inventory of upstream material (aged over 90 days). Defective cells will be sent to the Group's recycling facility in the future.
- Similarly, capital expenditures for several projects were under budget due to production delays. Such delays included discontinuation of Labs extension, delays of R&D 2.0, and other delays in the Systems and Revolt segments. Delays were partially driven by changes in market conditions and inflationary pressures.
- The Company has several ongoing disputes with vendors, resulting in an increase in accounts payable over the historical period. These disputes include: (a) Overdue payables to Wuxi Lead Intell relating to a dispute on milestone achievements and invoicing formats; (b) dispute with Engie Axima relating to construction of NV Ett in FY21, with the outstanding balance totaling SEK 26m; and (c) disputes with several other vendors relating to construction work performed in NV Ett.
- Accrued expenses as at October 31, 2022 were composed of the following:
  - Debt subsidies (SEK 381 million):** Related to SEK 55m in prepaid grants, SEK 4m of repaid/transferred grants to other entities and SEK 72m of grant income. A portion of these grants may need to be repaid in the future.
  - Accrued operating costs (SEK 332 million):** Related to accrued expenses which have not yet been approved for normal course operating activities. This balance also includes SEK 128 million of accrued loan application fees related to convertible notes issued in Q3-22 and accrued costs related to an agreement with Tanaka Chemical Corporation (SEK 148 million). These financing related accruals have been removed from reported net working capital.
  - Accrued personnel costs (SEK 308 million):** Includes accrued payroll, vacation pay, and employee taxes. An incremental adjustment has been made to include unaccrued costs related to banked overtime for blue collar employees, which totaled SEK 11 million at November 2022.
  - Other items, including prepaid revenue, accrued expenses for NV Germany (SEK 142 million) and personnel liabilities in Cuberg (SEK 2 million).

# 02

## Appendices

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# Important notice

This red flag report is provided Investment Management Corporation of Ontario ("IMCO," "Client," or "You") on a confidential basis pursuant to our engagement letter dated March 9, 2023 ("Engagement Letter") and is subject in all respects to the terms and conditions of the Engagement Letter, including restrictions on use of this report by third parties.

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## **KPMG approach**

Our report makes reference to 'KPMG Analysis'; this indicates only that we have (where specified) undertaken certain analytical activities on the underlying data to arrive at the information presented; we do not accept responsibility for the underlying data.

The analysis of 'normalized'/'underlying' earnings and working capital is for indicative purposes only. We have sought to illustrate the effect on EBITDA/working capital of adjusting for those items identified in the course of our work that may be considered to be 'non-recurring' or 'exceptional' using criteria established by the Vendors/Target. However the selection and quantification of such adjustments are necessarily judgmental. Because there is no authoritative literature or common standard with respect to the calculation of 'normalized'/'underlying' earnings/working capital, there is no basis to state whether all appropriate and comparable adjustments have been made. In addition, while the adjustments may indeed relate to items which are 'non-recurring' or 'exceptional' or otherwise unrepresentative of the trend, it is possible that earnings/working capital for future periods may be affected by such items, which may be different from the historical items.

# Glossary of terms and abbreviations

|                |                                                              |                   |                               |
|----------------|--------------------------------------------------------------|-------------------|-------------------------------|
| <b>AASB</b>    | Auditing and Assurance Standards Board                       | <b>LLP</b>        | Limited liability partnership |
| <b>AP</b>      | Accounts payable                                             | <b>Management</b> | Management of the Company     |
| <b>AR</b>      | Accounts receivable                                          | <b>NOK</b>        | Norwegian Krone               |
| <b>Capex</b>   | Capital expenditure                                          | <b>NV AB</b>      | Northvolt AB or the "Company" |
| <b>COGS</b>    | Cost of goods sold                                           | <b>NV Ett</b>     | Northvolt Ett AB              |
| <b>Company</b> | The target company, "Northvolt AB"                           | <b>NV PL</b>      | Northvolt Poland Sp. Z.o.o.   |
| <b>DIO</b>     | Days inventory outstanding                                   | <b>QofE</b>       | Quality of earnings           |
| <b>DPO</b>     | Days payable outstanding                                     | <b>R&amp;D</b>    | Research and development      |
| <b>DSO</b>     | Days sales outstanding                                       | <b>SEA</b>        | Swedish Energy Agency         |
| <b>EBITDA</b>  | Earnings before interest, tax, depreciation and amortization | <b>SEK'm</b>      | Swedish krona in millions     |
| <b>ERP</b>     | Enterprise resource planning                                 | <b>TTM</b>        | Trailing twelve months        |
| <b>EUR</b>     | Euro                                                         | <b>USD</b>        | United States dollar          |
| <b>FX</b>      | Foreign exchange                                             | <b>VDD</b>        | Vendor due diligence report   |
| <b>FYxx</b>    | Financial year-end 20xx                                      | <b>WIP</b>        | Work-in-progress              |
| <b>HR</b>      | Human resources                                              | <b>YTD</b>        | Year to date                  |
| <b>IFRS</b>    | International Financial Reporting Standards                  |                   |                               |
| <b>IT</b>      | Information technology                                       |                   |                               |
| <b>JV</b>      | Joint Venture                                                |                   |                               |





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